

PRACTICE PROBLEMS

1. and a premium for:
 - A. maturity.
 - B. liquidity.
 - C. expected inflation.
2. Which of the following risk premiums is most relevant in explaining the difference in yields between 30-year bonds issued by the US Treasury and 30-year bonds issued by a small, private US corporate issuer?
 - A. Inflation
 - B. Maturity
 - C. Liquidity
3. Consider the following annual return for Fund Y over the past five years:

Exhibit 1: Five-Year Annual Returns

Year	Return (%)
Year 1	19.5
Year 2	-1.9
Year 3	19.7
Year 4	35.0
Year 5	5.7

The geometric mean return for Fund Y is *closest* to:

- A. 14.9 percent.
 - B. 15.6 percent.
 - C. 19.5 percent.
4. A portfolio manager invests EUR5,000 annually in a security for four years at the following prices:

Exhibit 1: Five-Year Purchase Prices

Year	Purchase Price (euros per unit)
Year 1	62.00
Year 2	76.00